

2013 Budget Final

December 19, 2012



All Funds

Timberland Regional Library

ACKNOWLEDGEMENTS

Timberland Regional Library Board of Trustees:

Emmett O'Connell, President

John E. Braun, President-Elect

Edna J. Fund, CRC

Bob Hall

Stephen Hardy

Corby Varness

Judy Weaver

Budget Prepared by:

Gwen Culp, Acting Library Director and Information Technology

Cheryl Heywood, Manager, Public Services

Rich Park, Manager, Human Resources

Jeff Kleingartner, Manager, Communications

Felicia Wilson, Manager, Collection Services

Rick Homchick, Business Manager

With Assistance From:

Ellen Duffy, Youth Services Coordinator

Tim Mallory, Reference and Adult Services Coordinator

Nancy Schutz, Training Coordinator

BUDGET DEVELOPMENT

Timberland Regional Library's budget can be complex and confusing. To better understand the purpose of the library's budget, background information and knowledge of a few assumptions are presented. This section will attempt to provide the reader with the necessary contextual information to make the Budget document a meaningful and useful guide to TRL's 2013 planning and policy goals.

INTRODUCTION

Information to orient the reader on the 2013 Budget including:

- A Budget Message
- TRL's Mission and Vision Statements
- A description of the annual budget process
- A brief glance at the 2013 Budget, including revenue and expenditure summary statements
- An overview of Changes in Fund Balance
- Public Service Staffing Summary
- Timeline of Major Events



North Mason - Kids and Leia and Vader

POLICIES/GUIDELINES

This section provides an overview of budget priorities and financial policies to ascertain that the budget is meeting the Library's planning and policy goals for programs and services as well as finances.

- Budget Priorities
- Three-year projections
- Library's Financial Policies for review



Waiting for the show

REVENUE/EXPENDITURES/FUND BALANCE

Provides a more detailed overview of revenue/expenditure/fund balance sources and associated assumptions. This section also contains historical trends that support Timberland Regional Library operational estimates.

INTRODUCTION

BUDGET MESSAGE

Timberland Regional Library utilizes priority based budgeting. Each year TRL identifies the most important priorities, determines how much revenue is available and allocates available resources to those priorities at the appropriate level of investment. It seems simple unless economic conditions are such that new resources are flat, expenditures are rising, and demand for services is increasing. The 2013 Budget incorporates those various challenges.

Since 2005 tough decisions have been made that restructured administrative services, trimmed open hours, and cut substitute employees, all prior to the economic downturn of 2008. Since that time expenditures have been aggressively managed as the recession has lasted longer than anyone expected. However, aggressively managing expenditures is not a long-term strategy.

The 2013 Budget Priorities were developed with the idea that 2013 revenue for Timberland Regional Library will be stable but limited, particularly with respect to new revenues. Property values are stagnant or declining and new construction values are 13.8% less than 2011 values and 20.8% less than 2010 values (preliminary information).

Our experiences over the last several years have demonstrated the need to think long-term for strategy. Long-term strategy protects against unexpected downturns and provides flexibility to respond to unexpected opportunities when they arise. The goal is to maintain an adequate fund level

and identify necessary expenditures so that service levels can remain consistent and additional tax increases are not needed.

The General Fund Overview

General Fund projected expenditures, comprising the basic cost elements for essential library services, are up 5.04% over the 2012 Budget. General Fund revenues are up 2.82% over last year. In order to balance the 2013 General Fund \$39,210 will need to come from existing reserves.



Mural 2 at Lacey Library
Mural in lobby hallway

Timberland Regional Library's two biggest cost drivers are always salaries and wages, 70% of operating expenditures, and books and materials, 15.9% of operating expenditures.

Another increase to the Public Employees Retirement System employer contribution is proposed for July 2013 from the Pension Funding Council. The increase, included for the 2013 Budget, takes the employer rate from 7.21% to 9.19%, an additional expenditure of \$108,000. Washington State's Retirement System is secure with Plans 2 and 3 funded above 100%, meaning a plan has assets of at least \$1 for every \$1 of earned pension liability.

Many thanks to all staff who completed the LiveWell incentive program. Timberland Regional Library met its goal and all employees enrolled in medical coverage will receive the 4% premium discount.

The Building Fund Overview

Timberland Regional Library maintains a Building Fund to pay for building or remodeling and maintenance of TRL owned library facilities and for assistance with the design and planning of new or remodeled city-owned library facilities.

The 2013 Building Fund Budget continues to move us towards implementation of a long-term funding strategy. Consideration for space planning for the future library service model will begin in addition to the continued use of the Service Points Analysis for a full and equitable method to evaluate and prioritize requests for change to our service points.

Timberland Regional Library recognizes the need to financially partner with cities for new, enlarged and remodeled library facilities and will review policy options more fully in 2013.

The Automated Circulation Fund Overview

Timberland Regional Library maintains an Automated Circulation Fund for the purchase and implementation of the library's integrated library system, major purchases of computer network and telecommunications equipment.

The last major initiatives within this fund were the upgrade of the ILS in 2010 and upgrade to the telecommunication systems of 2010 and 2011. Included for 2013 is a firewall replacement.

The Unemployment Compensation Fund Overview

Timberland Regional Library maintains the Unemployment Compensation Fund for

compensation payments in a self-insurance program.

The Gift Fund Overview

Timberland Regional Library uses the Gift Fund to track receipts and disbursements for restricted gifts and bequests to libraries.

Conclusion

Priority based budgeting allows for strategy within a context of overall long-term strategic planning. The over-arching goal of the 2013 Budget is to shape the highest priority for services as determined by public and staff input, within the limits of available resources, and with an eye on the future for long-term planning needs. Context paired with purpose is where examination of the 2013 Budget begins.

TRL MISSION STATEMENT

Timberland Regional Library provides:
Information, Resources, Services, and Places
Where all people are free to:
Read, Learn, Connect, and Grow

TRL VISION STATEMENT

For every reader, the best book
For every question, the best answer
For every need, the best resource
For every encounter, the best experience
For every library dollar, the best value
For every person, a place to belong

Approved by the TRL Board of Trustees, March 23, 2005

ANNUAL BUDGET PROCESS

The annual budget process involves teamwork and cooperation among many groups, including our communities, the Board of Trustees, our cities, our bargaining units, the Board Budget and Facilities Committees and staff. The annual operating budget is prepared on a calendar year basis and consists of the six distinct phases as follows:

1. The **PLANNING** stage: The Budget Committee provides guidance on how to direct Departments in developing their budgets for the coming year – what the constraints are and what priorities to focus on.
2. The **DEVELOPMENT AND PREPARATION** stage: The Departments develop and submit their budget requests to be reviewed and prioritized. The submitted requests are balanced against projected revenues and expenses as the Preliminary Budget is developed.
3. The **REVIEW AND ADOPTION** stage: The Board of Trustees reviews the Preliminary Budget, seeks input from the public, makes budget adjustments and then adopts the Final Budget for the next calendar year.
4. The **IMPLEMENTATION** stage: Programs financed by the approved budget are carried out. The budget year is on a calendar year, January 1 through December 31, 2013. Appropriations lapse at year end.
5. The **MONITORINIG** stage: Expenditures are monitored by the Director and the management team throughout the year to ensure that funds are used in an approved manner. Department managers receive monthly detailed budget reports and are responsible for monitoring expenditures paid from each line item. These reports indicate approved budgets for each line item and department/program/line of business. They indicate what has been spent for the month, year-to-date, and what is still unspent.
6. The **EVALUATION** stage: Audits are conducted and annual financial reports are produced.



Tumwater Timberland Library - Star Wars Reads Day - Reading Together

TIMBERLAND REGIONAL LIBRARY

2012 ESTIMATED REVENUES, EXPENDITURES AND FUND BALANCES

Final - December 19, 2012 - ALL FUNDS

	General Fund	Building Fund	Auto. Circ. Fund	Unemp. Fund	Gift Fund	Total Funds
ESTIMATED REVENUES:						
Property Taxes	18,418,101	0	0	0	0	18,418,101
Other Revenues	2,281,434	63,000	9,500	1,400	80,000	2,435,334
Total Est. Revenues	20,699,535	63,000	9,500	1,400	80,000	20,853,435
Required Beg. Fund Bal.	0	887,000	0	0	25,000	912,000
Operating Transfers-In	0	250,000	24,000	26,000	0	300,000
Total Resources	20,699,535	1,200,000	33,500	27,400	105,000	22,065,435
=====						

ESTIMATED EXPENDITURES:

Total Budget	19,745,196	1,200,000	23,142	19,777	105,000	21,093,115
Operating Transfer-Out	300,000	0	0	0	0	300,000
Intergovernmental	0	0	0	0	0	0
Ending Fund Balance	654,338	0	10,358	7,623	0	672,319
Total Uses	20,699,535	1,200,000	33,500	27,400	105,000	22,065,435
=====						

PROJECTED FUND BALANCES:

Fund Balance 01/01/12	\$8,643,720.80	\$1,471,867.62	\$622,287.82	\$154,935.10	\$938,289.17	\$11,831,100.51
Fund Balance Use	0.00	(887,000.00)	0.00	0.00	(25,000.00)	(912,000.00)
Fund Balance Increase	\$836,239	\$0	\$10,358	\$7,623	\$0	\$854,220
Fund Balance 12/31/12	\$9,479,959.80	\$584,867.62	\$632,645.82	\$162,558.10	\$913,289.17	\$11,773,320.51

TIMBERLAND REGIONAL LIBRARY

CONDENSED 2013 BUDGET

2012 Projection AND 2013 Baseline Budget - GENERAL FUND

	Projected 2012 Actual	2012 Budget	2013 Budget	2013 % of Total Budget
ESTIMATED REVENUES:				
				2013 Property Tax Revenue estimate of \$18,808,290, Sep
Beginning Fund Balance for Operations	0	202,005	0	NA
Property Taxes	\$18,396,197	\$18,250,000	\$18,900,000	89%
City Contract Fees	122,174	99,504	102,236	0%
Timber Taxes and Sales	1,680,221	1,310,000	1,344,500	6%
Interest on Investments	73,701	90,000	57,500	0%
Fines	350,156	335,000	335,000	2%
Photocopy Fees	23,570	22,000	21,200	0%
Other Revenues	235,417	188,450	415,200	2%
TOTAL	\$20,881,436	\$20,496,959	\$21,175,636	100%
	=====	=====	=====	=====
BUDGETED EXPENDITURES:				
Salaries and Benefits	\$14,066,952	\$14,294,471	\$14,848,651	70%
Supplies	309,436	490,925	455,812	2%
Other Services and Charges	1,860,437	1,853,458	2,148,587	10%
Intergovernmental	882	1,000	1,000	0%
Capital Expenditures - Nonbooks	420,711	470,500	384,860	2%
Cap. Expend. - Books and Materials	3,086,777	3,086,605	3,375,935	15.9%
SUB-TOTAL (Operating Expend.)	19,745,196	20,196,959	21,214,846	100%
Operating Transfers-Out	300,000	300,000	2,020,000	=====
Ending Fund Bal (Future Reserves)	836,239	0	(2,059,210)	
TOTAL	\$20,881,436	\$20,496,959	\$21,175,636	
	=====	=====	=====	

TIMBERLAND REGIONAL LIBRARY
2013 Baseline REVENUES AND APPROPRIATIONS

Final - December 19, 2012 - ALL FUNDS

	General Fund	Building Fund	Auto. Circ. Fund	Unemp. Fund	Gift Fund	Total Funds
ESTIMATED REVENUES:						
Property Taxes	18,900,000	0	0	0	0	18,900,000
Other Revenues	2,275,636	15,000	6,000	1,300	50,000	2,347,936
Total Est. Revenues	21,175,636	15,000	6,000	1,300	50,000	21,247,936
Operating Transfers-In	0	1,700,000	300,000	20,000	0	2,020,000
Total Resources	21,175,636	1,715,000	306,000	21,300	50,000	23,267,936
=====						

APPROPRIATIONS:

Total Budget	21,214,846	539,996	130,060	21,000	50,000	21,955,902
Operating Transfer-Out	2,020,000	0	0	0	0	2,020,000
Intergovernmental	0	0	0	0	0	0
Reserve In(De)crease	-2,059,210	1,175,004	175,940	300	0	-707,966
Total Uses	21,175,636	1,715,000	306,000	21,300	50,000	23,267,936
=====						

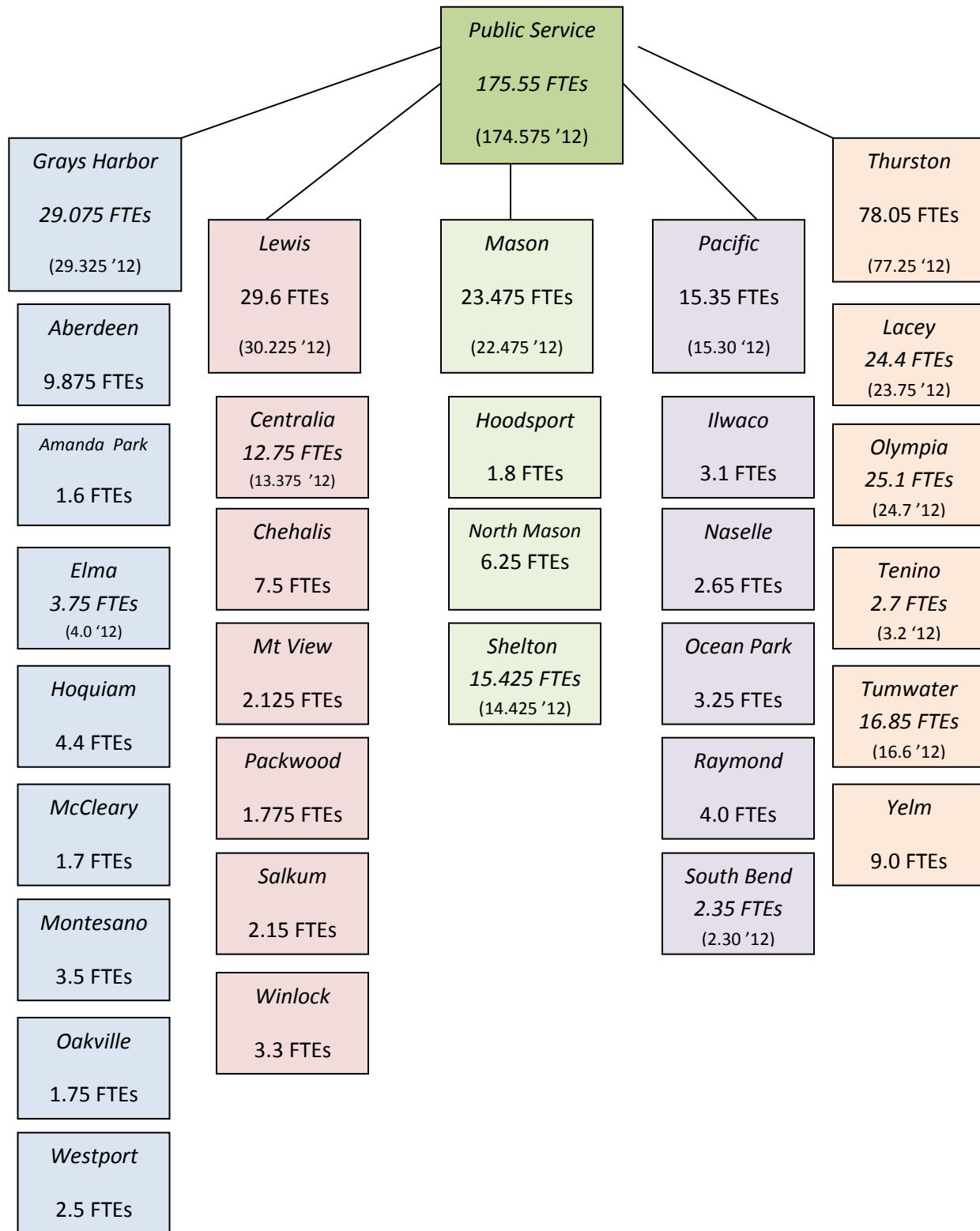
PROJECTED FUND BALANCES:

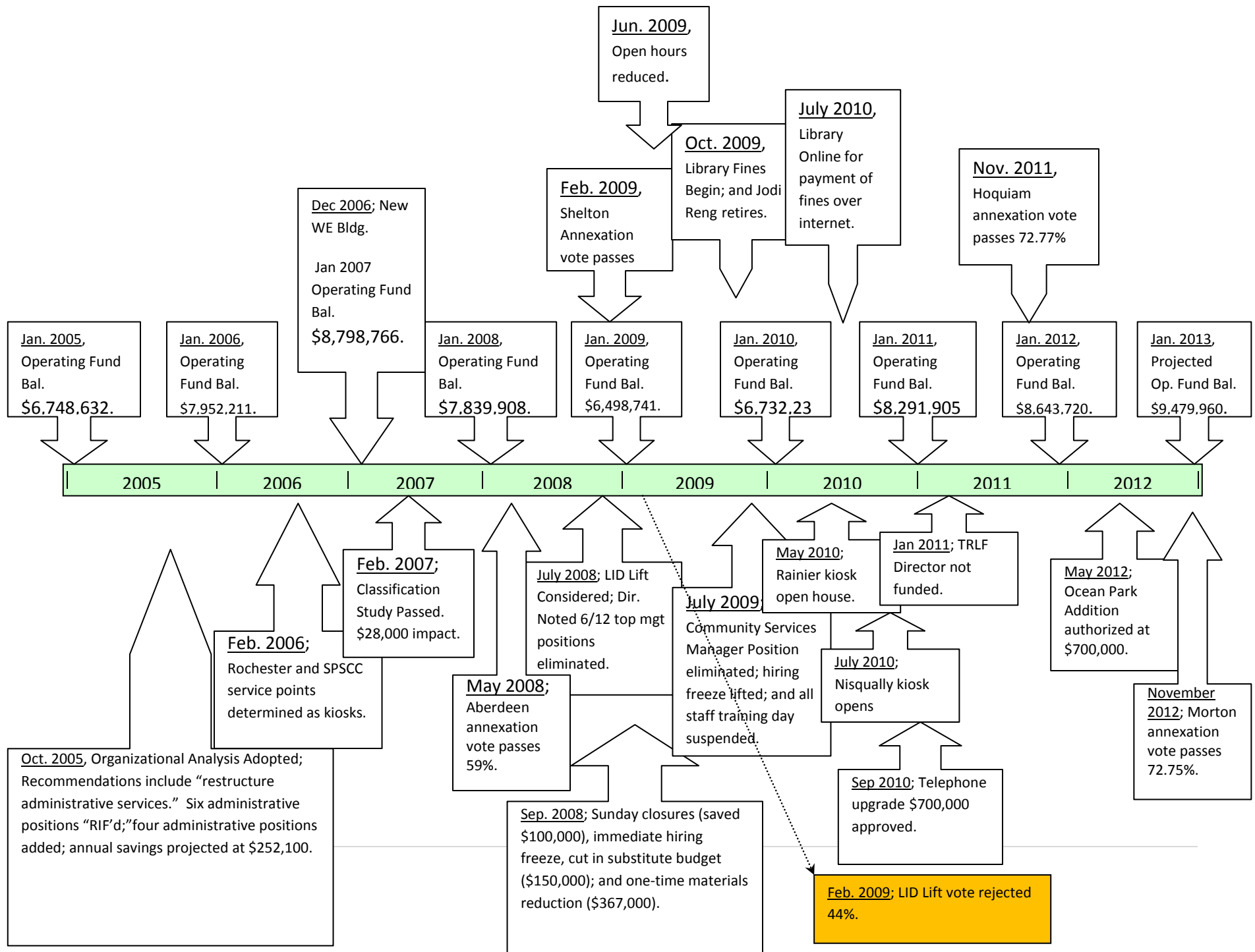
Fund Balance 01/01/13	\$9,479,959.80	\$584,867.62	\$632,645.82	\$162,558.10	\$938,289.17	\$11,798,320.51
Reserve In(De)crease	(2,059,210)	1,175,004	175,940	300	0	(707,966)
Fund Balance 12/31/13	\$7,420,749.80	\$1,759,871.62	\$808,585.82	\$162,858.10	\$938,289.17	\$11,090,354.51



**Centralia - Library Snapshot Day
2012 - ESL Class Tour**

2013 PUBLIC SERVICE PEOPLE RESOURCES





POLICIES/GUIDELINES

2013 BUDGET PRIORITIES WITH RELATED INITIATIVES

- A theme for 2013, “Stronger Communities: Building Our Future”
 - Highlight current services/resources through programs, resources, advertising, and outreach.
 - Jobs and Careers
 - Your Money
 - Business Know How
 - Education/Early Learning
 - Possible Grant: Timberland Rural Prosperity Initiative, \$100,000 over two years.
 - FINRA modules, podcasts and videos.
 - \$6,000 Family Read Aloud district performer, March 2 through April 12.
- Training: Staff Development and User Orientation
 - \$35,456 increase to Training Budget for a total investment of \$115,911.
 - 163 Registrations planned, 1 for every 2 TRL employees.
- Collection of Materials
 - e-Reader devices. 50 Nooks with downloaded ebooks to be leased and managed by Barnes and Noble within Books and Materials budget at \$50,000.
 - Leased materials to meet demand for popular titles to be managed within Books and Materials budget, \$45,000.
- Marketing Campaigns
 - \$10,000 to include four separate service oriented marketing campaigns.
 - \$7,000 for additional newspaper/radio ads.
 - \$10,000 to install full vehicle graphics wrap on vehicles.
- Outreach
- Use more “Programs in a Box” and “People Teaching People”
- Adjust Open Hours
 - Intermediate adjustments considered and then tabled. Broader evaluation of staffing in conjunction with community needs to be considered for 2013.
- Beyond 2013 Priorities
 - 10-20 Year Facilities Plan
 - Vision of the Library in the Future
 - Space Planning/Remodeling for Future Uses

Timberland Regional Library
Projected Cash Flow Summary For the Years 2012-2016
December 19, 2012

	Projected 2012	Projected 2013	Projected 2014	Projected 2015	Projected 2016
Beginning Uncommitted Fund Balance	\$ 4,393,721	\$ 407,947	\$ -	\$ -	\$ -
Beginning Reserve Commitments:					
Operational Needs for first four months	\$ 4,000,000	\$ 7,050,000	\$ 7,075,000	\$ 7,100,000	\$ 7,150,000
Transfers Out to Special Purpose Funds	\$ 250,000	\$ 2,020,000	\$ 341,724	\$ 669,452	\$ 700,988
Election Costs, LID, LCFA	\$ -	\$ -	\$ -	\$ -	\$ -
Beginning Fund & Reserve Commitments:	\$ 8,643,721	\$ 9,477,947	\$ 7,416,724	\$ 7,769,452	\$ 7,850,988
New Revenue:					
Total Tax Revenue (property)	\$ 18,418,101	\$ 18,900,000	\$ 19,242,681	\$ 19,589,546	\$ 19,940,637
Major Timber Revenue (private & public)	\$ 1,680,221	\$ 1,344,500	\$ 1,371,390	\$ 1,405,675	\$ 1,447,845
Intergovernmental (City Contracts)	\$ 122,174	\$ 102,236	\$ 101,214	\$ 100,202	\$ 99,199
Charges and Services (printing & copies)	\$ 39,695	\$ 37,700	\$ 37,704	\$ 37,708	\$ 37,711
Fines and Fees	\$ 350,156	\$ 335,000	\$ 328,300	\$ 321,734	\$ 315,299
Other (Loss/Damage, Interest, Excise)	\$ 271,089	\$ 456,200	\$ 463,043	\$ 469,989	\$ 479,388
Total New Revenue:	\$ 20,881,435	\$ 21,175,636	\$ 21,544,332	\$ 21,924,853	\$ 22,320,080
Expenditures:					
Personnel					
Base Wage & Salaries	\$ 10,619,275	\$ 10,805,373	\$ 10,927,297	\$ 11,024,648	\$ 11,179,043
Steps		\$ 98,329	\$ 99,438	\$ 100,324	\$ 101,729
COLA		\$ 190,000	\$ 109,273	\$ 110,246	\$ 111,790
Additional hours, ExHrs, SubHrs		\$ 48,436	\$ 50,000	\$ 50,000	\$ 50,000
Sunday Pay		\$ -	\$ -	\$ -	\$ -
Subtotal	\$ 10,619,275	\$ 11,142,138	\$ 11,186,008	\$ 11,285,219	\$ 11,442,562
Benefits					
Medical		\$ 1,647,941	\$ 1,779,776	\$ 1,922,158	\$ 2,075,931
Dental, Vision, Life, EAP		\$ 236,342	\$ 243,432	\$ 250,735	\$ 258,257
PERS		\$ 898,445	\$ 988,290	\$ 998,173	\$ 1,008,154
Other (FICA, L&I)		\$ 923,784	\$ 912,778	\$ 924,259	\$ 940,579
Subtotal	\$ 3,447,676	\$ 3,706,512	\$ 3,924,277	\$ 4,095,326	\$ 4,282,921
Total Personnel Expenditures:	\$ 14,066,951	\$ 14,848,650	\$ 15,110,285	\$ 15,380,545	\$ 15,725,484

Timberland Regional Library
Projected Cash Flow Summary For the Years 2012-2016
December 19, 2012

	Projected 2012	Projected 2013	Projected 2014	Projected 2015	Projected 2016
	-----	-----	-----	-----	-----
<i>Operating Expenditures</i>					
Books and Materials	\$ 3,086,777	\$ 3,375,935	\$ 3,016,206	\$ 3,069,479	\$ 3,124,811
Maintenance & Operation	\$ 288,324	\$ 373,136	\$ 265,000	\$ 265,000	\$ 265,000
Supplies	\$ 313,751	\$ 455,812	\$ 477,864	\$ 451,316	\$ 251,001
Professional Services:					
Youth Programming	\$ 27,300	\$ 33,300	\$ 27,300	\$ 27,300	\$ 27,300
Adult Programming	\$ 54,000	\$ 54,000	\$ 54,000	\$ 54,000	\$ 54,000
Other	\$ 546,809	\$ 570,652	\$ 502,850	\$ 502,850	\$ 502,850
Communications	\$ 474,512	\$ 532,225	\$ 370,000	\$ 375,000	\$ 378,000
Other (Utilities, Insurance, Rentals)	\$ 466,060	\$ 586,276	\$ 699,360	\$ 696,360	\$ 692,360
Capital Expenditures-Non Book					
Courier Vehicles	\$ 50,000	\$ 26,000	\$ 50,000	\$ 50,000	\$ 25,000
Passenger Vehicles		\$ -	\$ 25,000		\$ 25,000
Equipment Replace	\$ 95,712	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000
Computer Equipment	\$ 275,000	\$ 258,860	\$ 150,000	\$ 200,000	\$ 250,000
	-----	-----	-----	-----	-----
Total Operating Expenditures:	\$ 19,747,209	\$ 21,216,859	\$ 20,849,879	\$ 21,173,865	\$ 21,422,822
<i>Transfers Out to Special Purpose Funds:</i>	\$ 300,000	\$ 2,020,000	\$ 341,724	\$ 669,452	\$ 700,988
<i>Ending Fund Balance:</i>	\$ 9,477,947	\$ 7,416,724	\$ 7,769,452	\$ 7,850,988	\$ 8,047,258
<i>Ending Reserve Commitments Next Year:</i>					
Operational Needs for First Four Months	\$ 7,050,000	\$ 7,075,000	\$ 7,100,000	\$ 7,150,000	\$ 7,200,000
Transfers Out to Special Purpose Funds	\$ 2,020,000	\$ 341,724	\$ 669,452	\$ 700,988	\$ 847,258
Election Costs, LID, LCFA	\$ -	\$ -	\$ -	\$ -	\$ -
	-----	-----	-----	-----	-----
Ending Reserve Commitments Next Year:	\$ 9,070,000	\$ 7,416,724	\$ 7,769,452	\$ 7,850,988	\$ 8,047,258
	-----	-----	-----	-----	-----
<i>Ending Uncommitted Reserve Balance:</i>	\$ 407,947	\$ -	\$ -	\$ -	\$ -
	=====	=====	=====	=====	=====

DRAFT TIMBERLAND REGIONAL LIBRARY BOARD OF TRUSTEES POLICY

Second Read 12/19/2012, First Read 11/28/12

	TITLE:	POLICY NUMBER:
	DRAFT – FUND BALANCE MANAGEMENT POLICY	SUPERCEDES POLICY:
EFFECTIVE DATE:	REVIEW DATE:	ORIGINATED BY:
xx/xx/xx	xx/xx/xx	Business Office
		AUTHORIZED BY:
		Board of Trustees

1. Purpose: To provide direction on fund balance management for the orderly and efficient management and control of Timberland Regional Library's (TRL) operations.
2. Scope: This policy applies to financial reporting requirements and budget review and adoption each year.
3. Definitions:
 - General Operating Fund:** This general fund is used to carry out TRL's normal operation and maintenance activities.
 - Building and Site Acquisition and Improvement Fund (Building Fund):** This special purpose fund is used to accumulate financial resources restricted to aid in the design and/or planning of city-owned TRL facilities, and to pay for building, maintaining and/or remodeling of TRL-owned library facilities.
 - Automated Circulation System Fund:** This special purpose fund is used to accumulate financial resources restricted for the purchase and implementation of TRL's automated circulation system, library materials inventory control system, major purchases of computer equipment and major purchases of telecommunications equipment.
 - Unemployment Fund:** This special purpose fund is used to accumulate resources for payments restricted to unemployment compensation benefits coverage in a self-insurance plan administered by the Washington State Department of Labor and Industries
 - Assigned Fund Balance:** Amounts TRL intends to use for a specific purpose.
 - Unassigned Fund Balance:** Amounts available for any purpose; these amounts are available only in the General Operating Fund.
4. Background: Fund balance allocations between the General Operating and special purpose funds shall include, but not be limited to, those required to meet accounting requirements and planning needs.
5. Policy:
 - a. It shall be TRL's policy to provide a minimum beginning assigned fund balance of twice the maximum monthly deficit of the preceding year for normal operation and maintenance activities.
 - b. It shall be TRL's policy to accumulate financial resources for potential future uses in the special purpose funds: Building Fund, Auto-circulation Fund, and Unemployment Fund. Consequently the assigned fund balance in each shall have no minimum balance requirement.

- c. It shall be TRL's policy to transfer the unassigned beginning fund balance to TRL's special purpose funds as part of the annual budget process.
 - d. If General Operating Fund reserves are depleted so that a minimum beginning assigned fund balance is not possible, a plan for restoration shall be developed for the Board of Trustees' approval in order to restore the balance over time. The restoration plan may include such recommendations as expenditure adjustments, fee adjustments, and/or transfers from the special purpose funds into the General Operating Fund as may be appropriate.
6. Citation: None.
7. By the enactment of this policy the Board of Trustees for the Timberland Regional Library concurrently rescinds any prior policies within the Library that is either in conflict with or expansive of the matters addressed in this policy.

Adopted by the Board of Trustees XXXX XX, XXXX

President, Board of Trustees

Date

TIMBERLAND REGIONAL LIBRARY

General Fund - 2013 Estimated Revenues

Final – December 19, 2012

		Actual	Actual	Budget	In(De)crease	<Draft Final>
		<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>Budget '12</u>	<u>Budget '13</u>
General Fund 657.00						
308.00	Estimated Beginning Fund Balance	0	0	0	0	0
311.10	Property Taxes	17,206,361	17,645,273	18,250,000	650,000	18,900,000
311.30	Sale of Tax Title Property	81	4,745	0	0	0
312.10	Timber Harvest Tax	241,961	602,342	280,000	(500)	379,500
317.20	Leasehold Excise Tax	77,788	46,308	43,000	(1,500)	41,500
319.12	Failure to List Personal Property Penalty	0	0	0	0	0
333.45	Indirect Federal Grants - Humanities	20,264	0	0	0	0
333.45	Indirect Federal Grants - Cont Education	750	1,500	0	2,250	2,250
333.84	Indirect Federal Grants - Work Study	8,169	7,180	4,000	4,000	8,000
333.84	Indirect Grants - Other	0	0	0	0	0
335.23	State Forest Land	387,437	291,769	360,000	(55,000)	305,000
337.01	In Lieu of Taxes	8,372	11,770	9,000	750	9,750
338.72	City Contract Fees	295,063	321,346	99,504	2,732	102,236
341.60	Photocopy Fees	24,467	23,540	22,000	(800)	21,200
341.69	Printing Fees	0	4,376	6,000	2,500	8,500
341.70	Sale of Merchandise	901	7,518	6,000	(5,000)	1,000
347.20	Non-Resident Fees	7,493	7,522	7,500	(1,300)	6,200
347.90	Other Fees	901	592	500	300	800
359.70	Library Fines	352,424	351,589	335,000	0	335,000
361.15	Interest on Investments	165,941	83,789	90,000	(32,500)	57,500
361.90	Forest Board Interest	999	1,036	700	0	700
362.51	Forest Board Rentals	9,531	19,324	8,750	(250)	8,500
362.52	Dept. of Army	0	0	0	0	0
362.90	Other Rents	74	318	0	0	0
367.00	Contributions	66,769	3,825	6,000	(1,000)	5,000
369.81	Cashier's Overages and (Shortages)	(156)	(227)	0	0	0
369.90	Other Miscellaneous Revenue	11,649	9,969	10,000	(1,000)	9,000
369.91	Sale of Junk or Salvage	38,382	28,988	25,000	5,000	30,000
381.20	Note Payments Received	0	0	0	0	0
389.00	Other Non-Revenue	14,091	4,087	2,000	218,000	220,000
395.10	Sale of Fixed Assets	0	0	0	0	0
395.11	Timber Sales/State Forest Board	575,804	577,082	550,000	(10,000)	540,000
395.12	Timber Sales/County	86,921	208,858	120,000	0	120,000
395.20	Insurance Recoveries Capital Assets	5,616	0	0	0	0
395.30	Comp. for Loss of Fixed Assets	65,557	69,483	60,000	4,000	64,000
398.00	Insurance Recoveries Other	0	0	0	0	0
Total Receipts		19,673,609	20,333,900	20,294,954	780,682	21,175,636
Estimated Beginning Fund Bal.		0	0	0	0	0
17 Page	Total Revenue and Fund Bal.	<u>19,673,609</u>	<u>20,333,900</u>	<u>20,294,954</u>	<u>780,682</u>	<u>21,175,636</u>

TIMBERLAND REGIONAL LIBRARY

General Fund - 2013 Estimated Expenditures

Final - December 19, 2012

	Actual	Actual	Budget	In(De)crease	<Draft Final>
General Fund 657.00	2010	2011	2012	Budget '12	Budget '13
572.XX.00 Reclassification and Cost Allocation	(14,091)	(4,087)	0	0	0
0.10 Salaries & Wages	10,424,281	10,507,184	10,908,738	233,400	11,142,138
0.20 Personnel Benefits	3,001,349	3,222,143	3,385,733	320,779	3,706,512
0.30 Supplies	298,836	343,482	490,925	(35,113)	455,812
Other Services and Charges:					
0.41 Professional Services	479,440	557,346	686,590	(28,638)	657,952
0.42 Communications	178,096	268,244	271,000	261,225	532,225
0.43 Travel	70,713	86,609	99,000	(13,649)	85,351
0.44 Advertising	16,388	26,298	16,000	12,000	28,000
0.45 Operating Rentals	248,230	259,559	96,533	2,545	99,078
0.46 Insurance	71,672	77,036	77,480	3,725	81,205
0.47 Utilities	132,952	126,133	142,000	1,200	143,200
0.48 Repairs and Maintenance	196,894	293,980	340,200	32,936	373,136
0.49 Miscellaneous	82,137	175,094	124,655	23,786	148,441
0.40 Total Other Services and Charges	\$1,476,523	\$1,870,297	\$1,853,458	\$295,130	\$2,148,588
0.50 Inter-Governmental	1,003	1,248	1,000	0	1,000
0.60 Capital Expenditures - Non Book	295,337	473,344	470,500	(85,640)	384,860
- Books and Materials	2,616,609	2,742,527	3,086,605	289,330	3,375,935
Total	18,099,847	19,156,138	20,196,959	1,017,887	21,214,846
507.XX.00 Transfer Out	0	776,509	300,000	1,720,000	2,020,000
397.XX.00 Transfer In	0	0	0	0	0
589.XX.00 Other Non-Expenditures	0	45,351	0	0	0
Estimated Ending Fund Balance (Use of Reserve)	1,573,762	355,902	(202,005)	(1,957,205)	(2,059,210)
Total Expenditures & Fund Balance	19,673,609	20,333,900	20,294,954	780,682	21,175,636

TIMBERLAND REGIONAL LIBRARY

2013 Building Fund - Estimated Resources & Expenditures

Draft Final - November 28, 2012

2013 Estimated Resources:

15,000	Investment Interest
1,700,000	Transfer from General Fund
<u>\$1,715,000</u>	Total Building Fund Resources

2013 Estimated Expenditures:

General Description:

5,000	General Bookdrop	
25,000	ADA	
20,000	Energy Efficiency	
30,000	Unanticipated	
15,000	Signage	
57,000	Amanda Park	Walkway cover \$30,000
17,900	Hoodsport	Composition roof replacement \$17,500
35,000	Montesano	Heat pump replace, \$30,000
8,000	Naselle	Exterior planter removal, \$8,000
93,096	North Mason	Hwy 3 widening, Sewer connect, T-stats
8,000	Packwood	Possible heat pump replace, \$7,000
10,000	Salkum	Downspout drain, interior painting
12,000	Service Center	Carpet replace, breaker panel
4,000	Architectural Services	
200,000	Maintenance or Space	
	Planning to be determined	
<u>\$539,996</u>		

Fund Balance

Jan 1, 2012	\$584,868
Increase	<u>1,175,004</u>
Dec 31, 2012	<u>\$1,759,872</u>

TIMBERLAND REGIONAL LIBRARY

2013 Automated Circulation Fund - Estimated Resources & Expenditures

Draft Final - November 28, 2012

2013 Estimated Resources:

<u>6,000</u>	Investment Interest
300,000	Transfer from General Fund
<u><u>306,000</u></u>	Total Automated Circulation Resources

2013 Estimated Expenditures:

Capital Expenditures - TRL:

System Software

13,044	New SCKO License
21,479	Office 2010 Professional Plus for Staff
30,220	Other Software

System Hardware

27,175	Firewall Replacement
18,142	Other Hardware
20,000	Unanticipated

<u><u>130,060</u></u>	Total Automated Circulation Fund Uses
-----------------------	---------------------------------------

Fund Balance

Jan 1, 2012	\$632,646
Increase	<u>175,940</u>
Dec 31, 2012	<u><u>\$808,586</u></u>

TIMBERLAND REGIONAL LIBRARY

2013 Unemployment Compensation Fund - Estimated Resources & Expenditures

Draft Final - November 28, 2012

2013 Estimated Resources:

<u>1,300</u>	Investment Interest
20,000	Transfer from General Fund
<u><u>21,300</u></u>	Total Automated Circulation Resources

2013 Estimated Expenditures:

21,000	Unemployment Compensation Payments - TRL:
<u><u>21,000</u></u>	Total Unemployment Compensation Fund Uses

Fund Balance

Jan 1, 2012	\$162,558
Increase	<u>300</u>
Dec 31, 2012	<u><u>\$162,858</u></u>

SUMMARY OF REVENUE AND REVENUE ASSUMPTIONS

The 2013 budget was developed on the broad assumption that 90% of all resources would derive from property tax revenues and that those taxes would remain stable and supplemented by an authorized levy increase of 1% in addition to new construction and a conservative estimate for Major Timber Revenues.

31x. Taxes

	2013 Budget	% of Budget	2012 Projected Actual
Property Taxes	\$18,900,000	89%	\$18,396,192
Timber Harvest Tax	\$379,500	1.8%	\$722,927
Leasehold Excise Tax	\$41,500	.2%	\$40,071
Total Taxes 31x.	\$19,321,000	91.2%	\$19,159,190

General property taxes are considered ad valorem taxes levied on an assess valuation of real and personal property. General property taxes make up 91.2% of total 2013 projected revenues, the detail for this category is provided in the table above. Real and Personal Property Taxes are the major line item for this category contributing 89% of all Library resources. Stable revenues contribute to a determined level for spending and the more dependable the projected revenue the less spending will be subject to unpredictable fluctuations.

Local property taxes remain at a constant level, contributing to a stable, anticipated spending level.

Property Taxes

Property taxes are anticipated to increase \$650,000 in 2013 from 2012. The city of Hoquiam annexed into Timberland Regional Library November 2011. The first year of collection for the city is 2013. In addition, the city will continue to pay the installments on a 10-year agreement for 2012 intergovernmental services.

<i>Existing Property Tax Receipts 1% Increase</i>	\$182,250
<i>City of Hoquiam 2013 Taxes for Collection</i>	\$190,000
<i>New Construction Values for 2013 Collection</i>	\$182,740
<i>Adjustment to Collection Estimates</i>	<u>\$95,010</u>
<i>Total 2013 Variance from 2012 Property Taxes</i>	<u>\$650,000</u>

Budget Year	Local Taxes % of Budget
2013	91.2%
2012	91.52%
2011	88.79%
2010	91.3%
2009	92.28%
2008	89.83%
2007	89.63%
2006	89.89%

The city of Hoquiam tax base will, from this point forward, be part of the Library's regular property tax limit. This factor, coupled with the continued expectation for property values to remain stagnant, or in continued decline, frames the anticipation of future new resources at minimal levels.

A recent history of the Library tax base shows that the assessed valuation for Timberland Regional Library has been in decline for three consecutive years resulting in a loss of over \$6 million in assess valuation for the Library (Please note that 2013 includes an estimate of the addition for the city of Hoquiam).

New construction values vary year to year depending on property improvements generated by construction which include new homes, apartments or large commercial developments. For every \$1,000 of new construction the Library may levy at its current levy rate (38.3¢ for 2012 collection). State law does not apply the 1% limit for revenues received from new construction and, because the limit does not apply, new construction is an important factor to examine when predicting future resources.

For Year	New Construction	Resource Generated	% of Budget
2013	\$428,495,399	\$182,740	.87%
2012	\$498,085,025	\$177,756	.88%
2011	\$540,669,841	\$183,254	.93%
2010	\$822,979,589	\$270,925	1.44%
2009	\$1,505,735,153	\$514,208	2.73%
2008	\$1,648,071,114	\$643,077	3.59%
2007	\$1,018,860,271	\$436,581	2.46%
2006	\$836,044,089	\$378,658	2.32%
2005	\$975,497,564	\$458,191	2.81%
2004	\$645,914,400	\$310,814	2.0%

The levy rate of assessment, or millage rate, is based on Timberland Regional Library's assessed property value. The statutory limit is \$0.50 per \$1,000 of assessed valuation. Recent mill rates are trending upward; an inverse relationship to TRL's overall assessed valuation.

Since 2009 the millage rate is estimated to increase by 8.6 cents, leaving 8.4 cents as available capacity before reaching the statutory limit. If the 50 cent limit is reached, available resources will be subject to the decrease in property values within its boundary and create a need to manage expenditures at a drastically reduced level. Keep in mind that if Timberland Regional Library is at its full taxing authority it will not be able to receive revenue from property taxes on new construction.

Pierce County Library System is projecting property values within its district to decline again in 2014 by 5%, again in 2015 by 2% and then level off. But there are signs of recovery within the housing market. The November 2012 Department of Natural Resources Forecast stated that the "housing market continues to show positive signs" and "new housing starts in September were at...their highest level in four years." Most importantly, the report pointed out that "average U.S. housing prices have increased in each of seven months through August." From these comments it seems remote that TRL will continue to see the rise in its millage rate of the previous four years, and reach its statutory limit.

For Year	Mill Rate (In cents)
2013	41.6
2012	38.3
2011	35.688
2010	33.894
2009	32.92
2008	34.15
2007	39.02
2006	42.85

Timber Harvest Tax

Timber harvest tax represents county-levied tax on timber harvested from privately and publicly owned land. A more detailed examination of timber harvest tax will be included with Major Timber Revenues.

Leasehold Excise Tax

These are taxes on property owned by state or local governments and leased to private parties. Receipts were at a high of \$77,788.27 in 2010 and a low of \$39,850 in 2008. Leasehold excise taxes are projected to reach \$40,071, or \$2,929 short of the estimated amount for 2012 receipts. For this reason the 2013 projection is \$1,500 less than 2012.

33X. Intergovernmental Revenues

	2013	% of Budget	2012 Projected Actual
Indirect Federal Grants	\$10,250	.05%	\$11,634
State Forest Land	\$305,000	1.4%	\$299,315
In Lieu of Taxes	\$9,750	.05%	\$23,937
City Contract Fees	\$102,236	.5%	\$122,173
Total	\$427,236	2.0%	\$457,059
Intergovernmental			

Intergovernmental revenues include grants, entitlements, shared revenues and payments for goods and services provided by one government to another (Please note that grants from private sources are included in account 367, contributions). Intergovernmental revenues represent a 2% source of funding for the 2013 budget.

State Forest Land

Represents counties' share of proceeds from leases and sales of products and timber from state forest lands managed by the Department of Natural Resources. A more detailed examination for state forest land resources will be included with Major Timber Revenues.

City Contract Fee

This account is used to record revenue derived from providing library services to contracting cities. Two cities continue to contract for library services, Winlock and Raymond. In addition, the city of Hoquiam will continue to make payment on the 10-year agreement for 2012 library services received.

34X. Charges for Goods and Services

	2013	% of Budget	2012 Projected Actual
Fees for Goods/Services	\$37,700	.18%	\$39,695

Charges for services rendered include photocopy fees, printing fees, non-resident fees and sale of goods.

Sale of Merchandise

This account includes the sale of TRL logo goods and various other vending supplies. In most years the total amount of merchandise sold is below \$1,000 which is where the 2013 estimate was reduced.

Non-resident Fees

Timberland library cards are available to anyone living or owning property in the unincorporated areas of Timberland's 5-county service area: Grays Harbor, Lewis, Mason, Pacific, and Thurston. In addition, anyone living or owning property in cities in the 5-county area that are annexed to or contract with Timberland for library service. This includes all cities except: Mossyrock, Napavine, Ocean Shores, Pe Ell, Toledo, and Vader. Residents of non-contracting, non-annexed cities or towns in the TRL service area, or residents of areas not covered by a reciprocal borrowing agreement, may purchase non-resident cards. Non-resident cards are issued for each individual within a household, but only one fee is charged per household.

The city of Morton voted to annex into Timberland Regional Library on November 6, 2012 and residents are now eligible for library cards. Non-resident revenue is reduced by 17% with consideration for the affect of the city of Morton annexation vote.

35X. Non-court Fines, Forfeitures, and Penalties

	2013	% of Budget	2012 Projected Actual
Library Fines	\$335,000	1.6%	\$350,156

Library Fines

Starting on October 1, 2009, Timberland began charging fines for overdue items. Overdue fines encourage patrons to return library items by the due date, making them available sooner to other patrons and reducing the amount Timberland has to spend for additional copies of popular items. Overdue fines help support ongoing library services as well.

All materials returned after the due dates are considered late and subject to fines. The daily fine for any item, whether book, DVD or other physical item is \$.15. There are no fines associated with e-books as they are automatically deleted from the customer's device at the end of the loan period.

The level of collection for library fines has been stable since the start date, representing an acceptable charge for holding materials past the due date. In July 2010, patrons were offered an opportunity to pay fines online using their credit/debit cards making the patron experience for managing fines even more fluent.

36X. Miscellaneous Revenues

	2013	% of Budget	2012 Projected Actual
Miscellaneous Revenue	\$106,200	.5%	\$129,160

Interest on Investments

The Library uses the Thurston County Treasurer's Office as its fiscal agent. Investment of surplus cash is made with the Thurston County Investment Pool. The Pool's yield for November 2012 is .61%, compared to the Local Government Investment Pool's yield of .17%.

The estimated return on investment was reduced by 36% due to low investment yields and the Fund Management Policy which will reduce the beginning fund balance in the General Fund.

Other Miscellaneous Revenue

Timberland uses a collection agency for library accounts that have fines and fees of \$50 or more for 30 days. If a patron's account is sent to the collection agency a non-refundable collection agency fee of \$10 is assessed. If a patron's account accrues \$10 or more in fines or fees the patron is no longer able to check out items.

Collection agency fee receipts in 2008 were \$20,035 and the estimate for 2013 is \$9,000. The reduction is due to patrons managing their accounts better, the impact from fines, and the increase in electronic content.

Sale of Junk or Salvage

The Library sends surplus books to an online vendor which then sells materials on Amazon.com and a portion of the proceeds are received by the Library. Surplus equipment is sent to the Washington State Surplus Store where proceeds are received by the Library if sales exceed a certain amount. Surplus vehicles are sold via auction. Revenue from sale of surplus materials fluctuates and is budgeted accordingly.

38X. Non-revenues

	2013	% of Budget	2012 Projected Actual
Non-revenues	\$220,000	1.03%	\$64,851

Other Non-revenue

This account is used to identify non-revenue receipts which are not includable elsewhere. A change in accounting method was instituted in 2011 for the receipt of federal E-rate telecommunications discount rebates. E-rate rebate payments are received directly from the vendor and not posted as a credit on the invoice, as had been past practice. This change was initiated to help in matching the year of application for E-rate rebates to the year of receipt for more consistent measurement.

39X. Other Financing Sources

	2013	% of Budget	2012 Projected Actual
Timber Sales – State/County	\$660,000	3.1%	\$657,978
Compensation for Loss of Fixed Assets	\$64,000	.3%	\$70,086
Total Other Financing Sources	\$724,000	3.4%	\$728,064

Timber Sales/State Forest Board and Timber Sales/County

This account is used for the proceeds from timber sales owned by the municipality. A more detailed examination of timber harvest tax will be included with major timber revenues.

Compensation for Loss of Fixed Assets

This account is used to record proceeds from lost or damaged materials. Replacements costs are charged for items that are 28 days overdue. Damage fees are charged for items that are damaged while checked out. Staff inspect items for damage when they are returned so that a patron will not be charged for damage that occurred before the item is checked out. Estimates for this category continue to remain constant with fines and e-content mitigating growth.

Major Timber Revenues

Major timber revenues apply to the excise tax on timber harvested from any private or public lands within Timberland Regional Library. A five percent timber excise tax is collected from the timber harvester and paid to the Washington State Department of Revenue.

Timber tax is composed of a four percent county tax and a one percent state tax. The county portion is distributed back to the county where the timber was harvested and helps fund capital projects, voter-approved bonds, school maintenance and operations, county roads, libraries and fire districts. Timberland Regional Library is becoming more and more dependent on Major Timber Revenues for support of its operations.

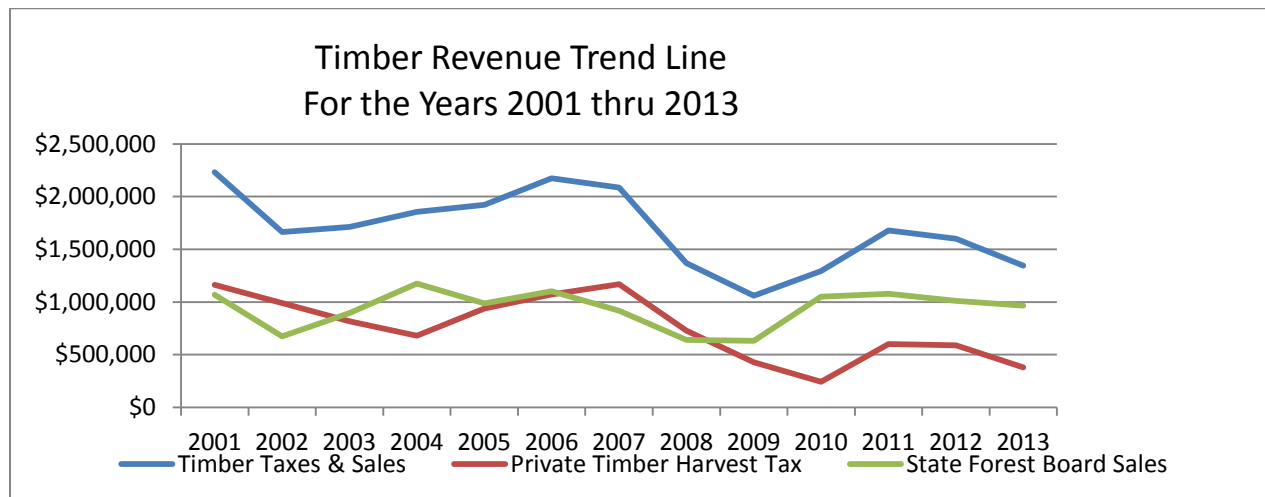
2013 Major Timber Revenue is estimated to be \$1,344,500, which is 6.3% of the 2013 budget. 2012 resources are projected to be \$1,680,220, or 8.0% of actual 2012 receipts. The other years represented are actual amounts.

When estimating 2013 Major Timber Revenue, consideration was given to the unpredictability of the source. Also considered was the degree of risk to the Library's financial outlook for an incorrect estimate, in other words if Timber revenue is received at amounts greater than expected they help fund long-term planning, a low risk. But if received at amounts lower than expected the impact could affect the Library's ability to deliver services, a high risk.

According to the Washington State Department of Natural Resource Economic and Revenue Forecast for both September and November 2012, forecast timber revenue is revised

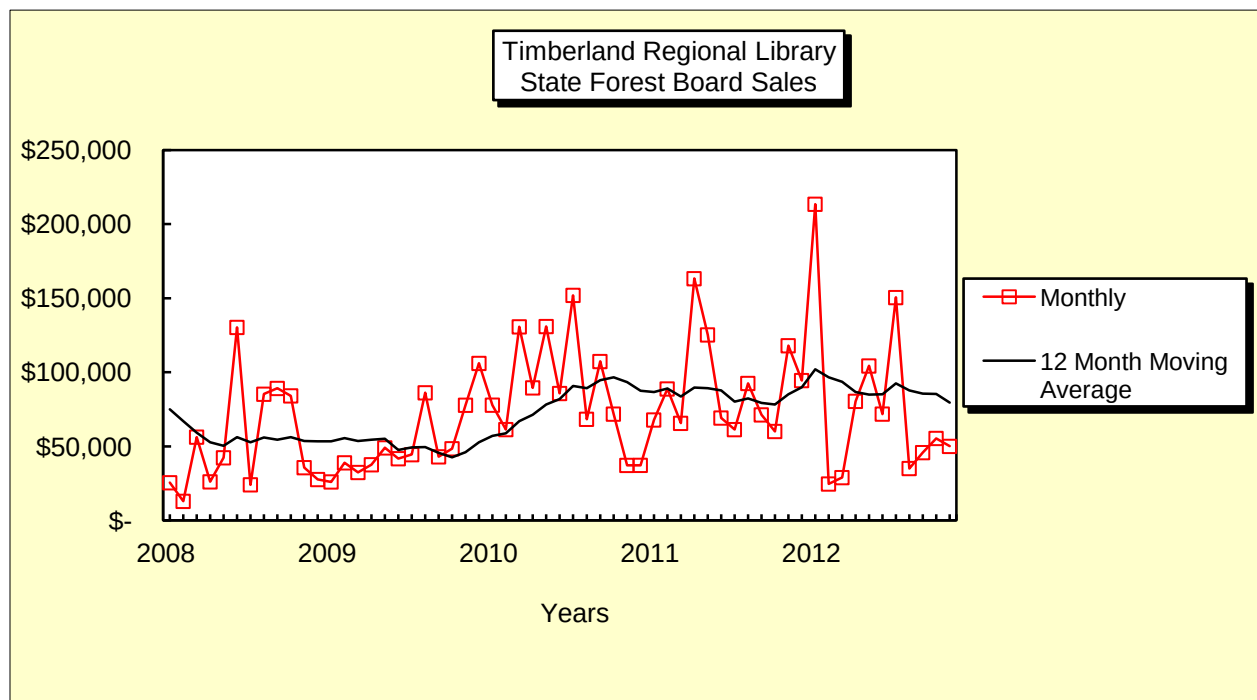
downward 2% in the September report and an additional 4% in the November report both for the fiscal year 2013. With this in mind, it was determined to estimate 2013 Major Timber Revenues at amounts that can be relied on.

For Year	Major Timber Revenues	% of Budget
2013	\$1,344,500	6.3%
2012	\$1,680,220	8.0%
2011	\$1,680,051	8.3%
2010	\$1,292,122	6.6%
2009	\$1,059,399	5.7%
2008	\$1,368,286	7.5%
2007	\$2,085,185	11.5%
2006	\$2,173,950	12.4%



Major Timber Revenues fluctuate greatly, but a predictable minimum base can be determined as the 2009 receipt of \$1,059,000; it is reasonable to anticipate that total 2013 receipts will not go lower. The standard deviation for timber receipts from 2001 to 2013 is \$370,000. The standard deviation added to the predictable minimum base of \$1,059,000, adjusted for an anticipated downward DNR forecast of 6%, is a result utilized to estimate 2013 Major Timber Revenue at \$1,344,500.

	Timber Taxes & Sales	Private Timber Harvest Tax	State Forest Board Sales	Ratio Priv/State
2001 Timber Taxes & Sales	2,233,215.30	1,163,946.10	1,069,269.20	1.09
2002 Timber Taxes & Sales	1,664,621.74	990,260.01	674,361.73	1.47
2003 Timber Taxes & Sales	1,712,084.01	816,400.65	895,683.36	0.91
2004 Timber Taxes & Sales	1,855,237.39	679,612.15	1,175,625.24	0.58
2005 Timber Taxes & Sales	1,923,854.50	938,343.14	985,511.36	0.95
2006 Timber Taxes & Sales	2,173,950.12	1,070,343.00	1,103,607.12	0.97
2007 Timber Taxes & Sales	2,085,185.38	1,169,502.42	915,682.96	1.28
2008 Timber Taxes & Sales	1,368,285.84	728,866.01	639,419.83	1.14
2009 Timber Taxes & Sales	1,059,398.90	427,726.14	631,672.76	0.68
2010 Timber Taxes & Sales	1,292,122.03	118,649.69	796,574.04	0.15
2011 Timber Taxes & Sales	1,680,050.78	602,343.23	1,077,708.55	0.56
2012 Timber Taxes & Sales	1,680,220.00	722,927.69	957,292.31	0.76
2013 Timber Taxes & Sales	1,344,500.00	379,500.00	965,000.00	0.39



SUMMARY OF EXPENDITURES AND EXPENDITURE ASSUMPTIONS

	2013	% of Budget	2012 Projected Actual
Personnel	\$14,848,650	70%	\$14,066,951
Supplies	\$455,812	2%	\$313,751
Other Services & Charges	\$2,149,588	10%	\$1,921,854
Books and Materials	\$3,375,935	16%	\$3,086,777
Capital Expenditures, Non-book	\$384,860	2%	\$420,711
Total	\$2,214,846	100%	\$19,745,195

The budget is made up of five major areas of operating expenditure, two categories deserve detail examination. In past years the Library applied the goal of 16% of revenues to budget for Materials (books, CDs, DVDs, and electronic resources). Also, personnel costs have remained consistent over the last few years despite the upward inflationary pressures from benefit costs and salary adjustments.

Allocation of Budgeted Costs (2013-2007):

	2013	2012	2011	2010	2009	2008	2007
Personnel	69.99%	70.78%	70.74%	72.12%	72.74%	71.23%	70.33%
Materials	15.9%	15.28%	13.74%	14.05%	13.69%	14.69%	15.21%

Personnel costs

Personnel costs account for nearly 70% of anticipated expenditures and pay for staffing the Library to meet its mission and operating goals. The change for 2013 from the 2012 budget is an increase of \$554,179, or 3.88%.

The Library budgets at full-employment where each position is considered funded for the full-year at its current step and grade. There is no consideration given for the realities of retirements, resignations, terminations, the amount of time it takes to fill vacancies, or re-hiring at lower steps. The factor could range from 1.2% to 2% of salaries and wages, Pierce County Library Systems used a factor of 2% in 2012 and 3% for 2013. 2013 Personnel Detail:

2013 Personnel Detail:

	2013	2012	%
	Budget	Budget	Change
Salaries and Wages	11,093,701.88	10,860,779.98	2.14%
Extra Hours/Substitutes	48,436.52	47,957.82	1.00%
Industrial Insurance	73,217.47	73,002.04	0.30%
Medical Insurance	1,647,941.27	1,480,960.43	11.28%
FICA	850,566.27	831,147.66	2.34%
PERS	898,445.16	756,035.02	18.84%
Dental Insurance	182,836.56	188,500.14	-3.00%
Other Benefits	53,505.60	56,087.88	-4.60%
Total	<u>14,848,650.73</u>	<u>14,294,470.97</u>	3.88%

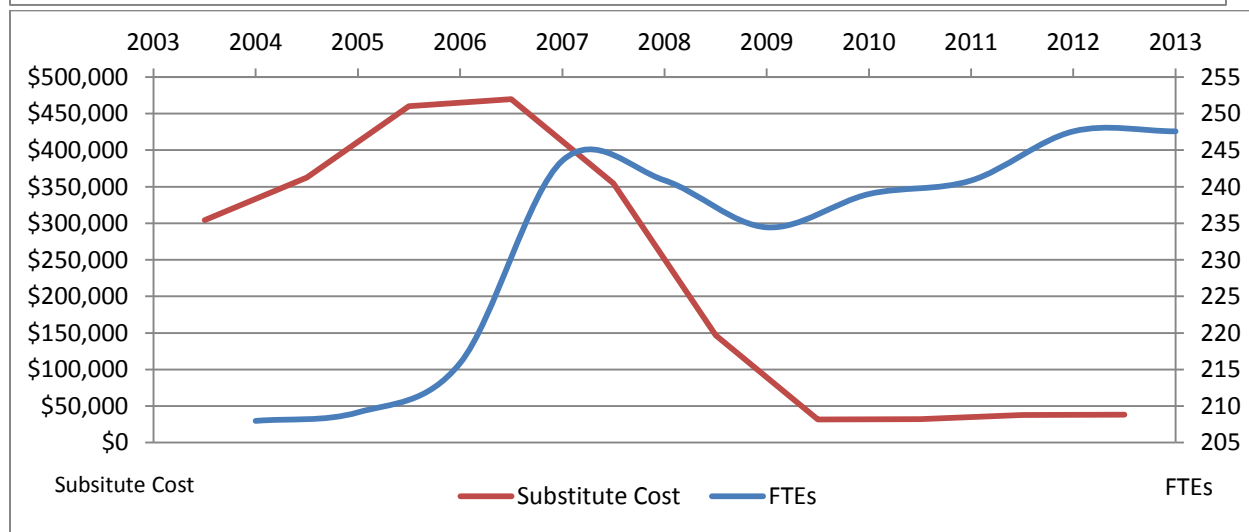
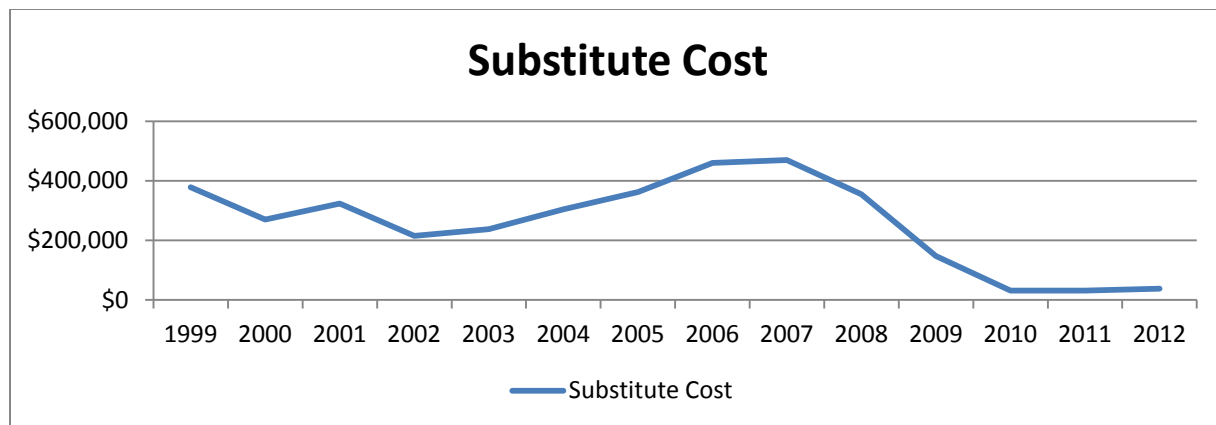
The total change for salaries and benefits from the previous budget year of 2012 is 3.88%, or \$554,179.79.

Salaries and Wages

Staffing includes all full and part-time personnel located in all locations. Salaries and Wage factors for 2013 include a 1.5% cost of living adjustment and minimum wage rate increase of 1.66%, to \$9.19/hour.

Extra Hours/Substitute

Extra/Substitute cost is a factor based on past year averages meant to capture the use of extra hours and substitutes to fill vacant FTEs.



Benefits

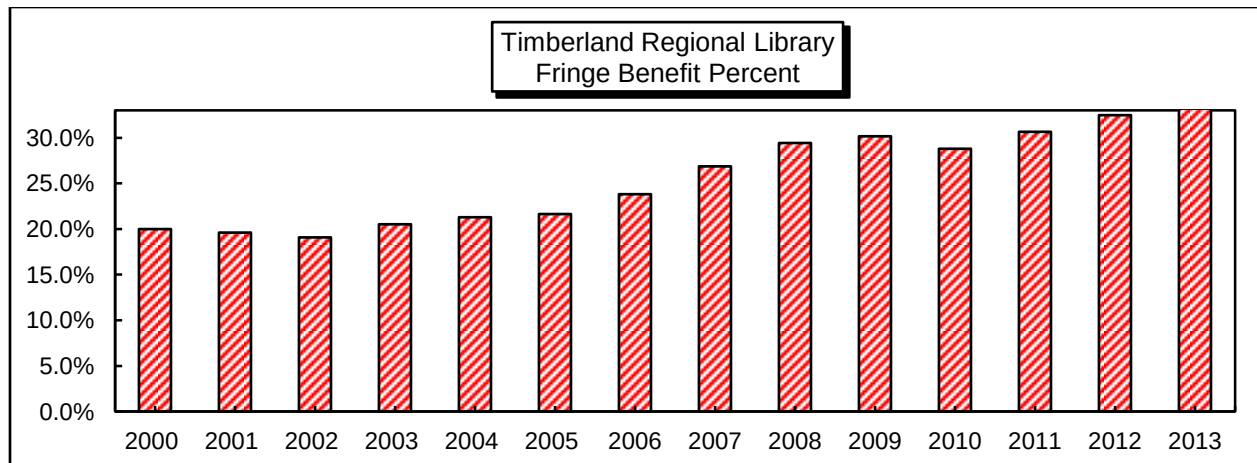
Benefits as a category include medical and dental costs, retirement, payroll taxes, vision, basic life insurance, long-term disability, and an employee assistance program.

The estimate for 2012 medical insurance included an incorrect assumption of a higher level of migration to lower tiered plans and the dropping of medical coverage by employees. Actual 2012 medical cost was higher.

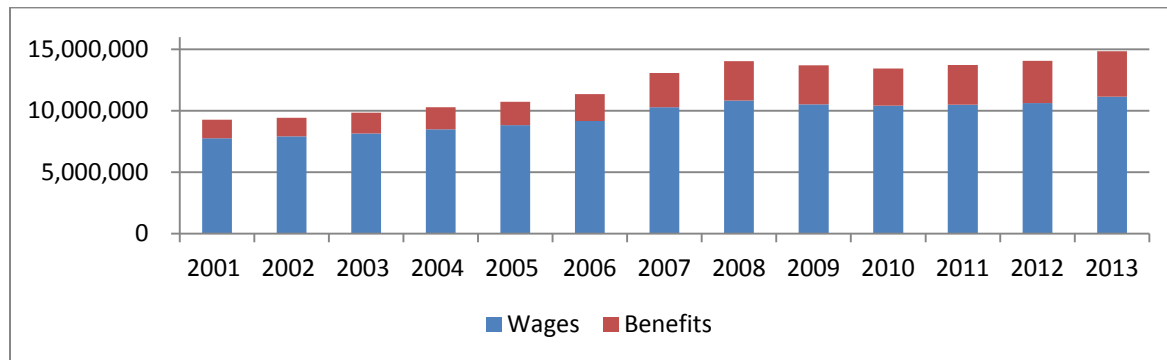
The 2011 Legislature passed retirement rates for 2012 but not for 2013. The Library will budget at the Pension Funding Council proposal of 9.19%. Contribution rates for the last few years have been as follows:

July 2013 - June 2014	9.19%
July 2012 - June 2013	7.21%
July 2011 - June 2012	7.21%
July 2010 - June 2011	5.31%

The increase from 5.31% to 9.19% for PERS contributions has resulted in an additional \$380,000 to the 2013 budget for estimated personnel costs.



The 2013 benefit margin is projected to be 33.3%, an increase from the 2012 margin of 32.47%.



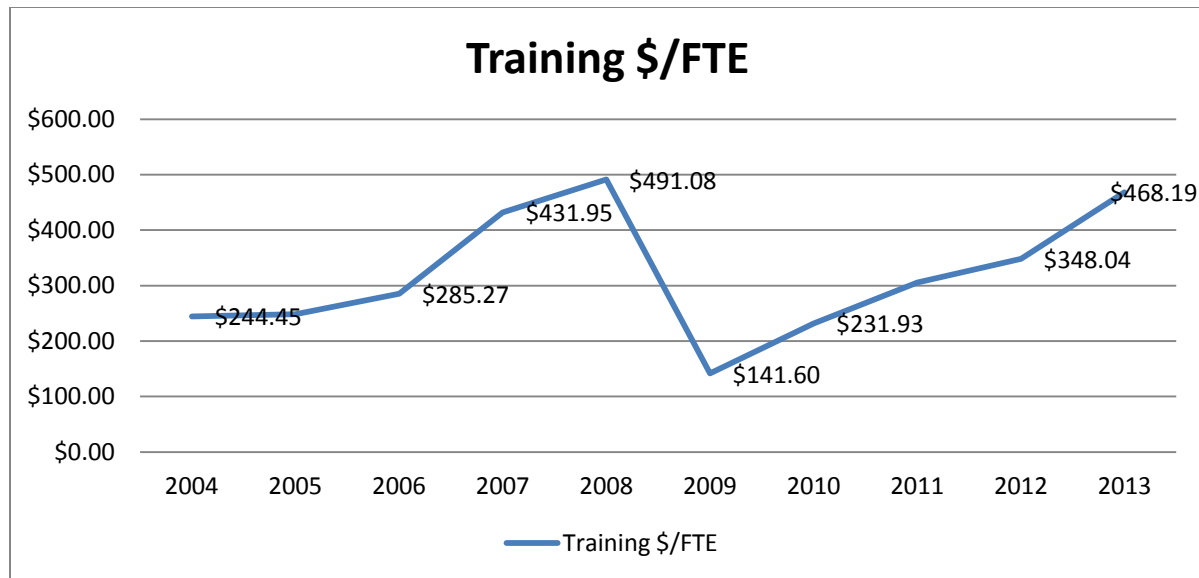
Supplies

This category represents articles and commodities purchased for consumption by the various departments or as part of public services. It also includes fuel for the courier vehicles and small tools utilized by the Facilities department. The 2013 estimate for supplies has been reduced by 7% from the 2012 budget estimate due to management of expenditures.

Other Services and Charges

This category is meant to capture the other various aspects to operations including professional services, communications, travel, advertising, operating rentals, insurance, utilities, repairs and maintenance and miscellaneous. The 2013 estimate for this category is an increase of 15.9% over the 2012 estimate, or \$295,130. Communications will not include the rebate for E-rate telecommunications discount; the \$270,000 anticipated rebate will be shown on the revenue side of the financial statements and not the expenditure side.

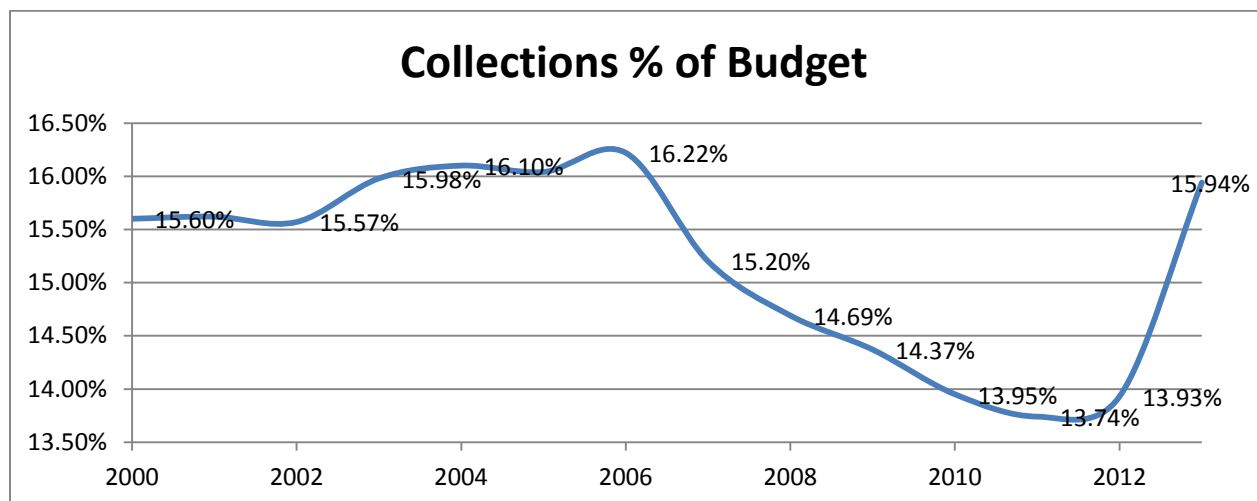
The element for training is set for a 44% increase as staff development is one of the 2013 budget priorities.



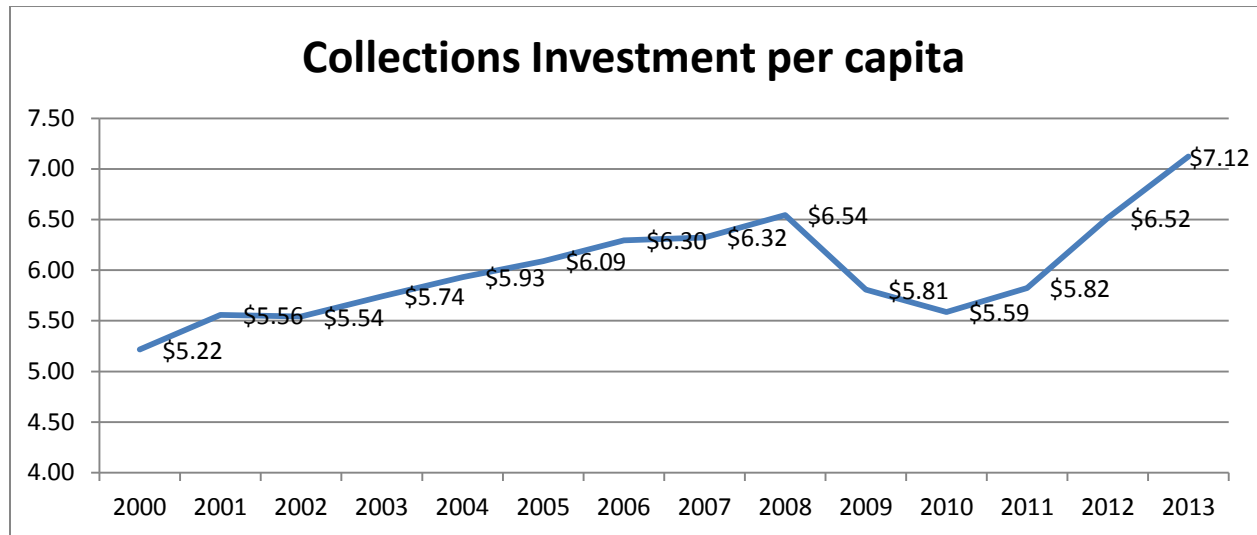
Books and Materials

Collection materials include purchases of materials for use by the public. It includes print material, machine readable material, audio-visual material, other materials, and processing charges. Books and materials will be 15.9% of the 2013 budget.

In the past, 16% was the target for collections which will include additional variations such as leased materials and pre-loaded Nooks. Processing charges is increased 80% to a total estimate of \$135,000; downloadables is increased 7.5% to \$713,800: 21.1% of the overall materials budget: and 1.8%, or \$61,330, was set aside for emerging formats.



Collections investment in ratio to the population of Timberland Regional Library has steadily risen over the last four years.



Tenino Entry Sign

Carved by local stonemason Keith Phillips using sandstone from the Tenino sandstone quarry

SUMMARY OF GENERAL FUND BALANCE

Past practice has held that, by default, all sources of unexpended revenues not held for special purpose, such as those related to grants, are released into the General Fund at year-end unless the Board takes action to identify and approve use of fund balance to support the special purpose funds, or the funds restricted for specific purposes such as the Building Fund and Auto-circulation Fund.

The General Fund balance is a key tool for managing the Library's cash flow. Should the General Fund balance get too low, not enough funds are available to pay for the first four or five months of each year (until tax collections are received), requiring the Library to borrow from other sources through Board action.

In 2009, the Government Finance Officers Association (GFOA) released an updated policy statement on cash reserves (Fund Balance). GFOA recommends a Fund Reserve policy to address one or more of the following 5 factors:

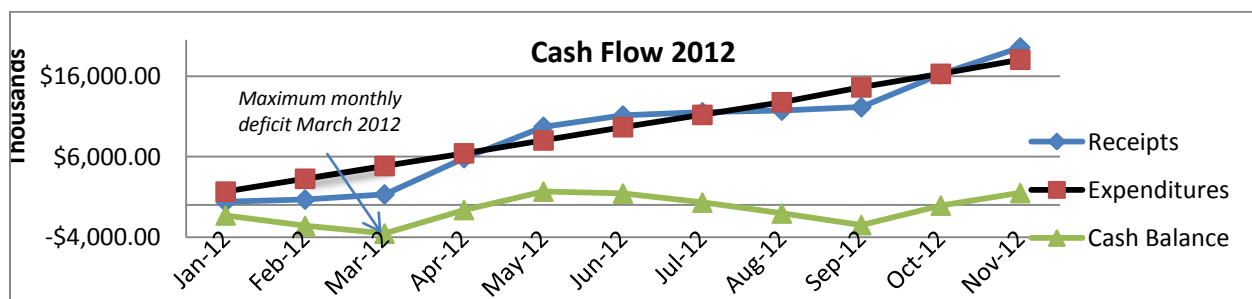
1. Predictability of revenues and the volatility of expenditures – higher fund levels may be needed if there are unpredictable fluctuations in revenues, or expenditures are volatile.
2. Perceived exposure to significant one-time outlays (e.g., disasters, state budget cuts, immediate capital outlay needs).
3. Potential drain upon general fund resources from other funds. In other words, deficits in other funds may require that a higher level of fund balance be maintained.
4. Liquidity, or the disparity between when financial resources become available to make payments and the average maturity of related liabilities, may require a higher level for fund balance.
5. Commitments and assignments for a specific purpose may require higher than normal levels.

Beginning Fund Balance

The General Fund balance is estimated to be at \$9.21 million. The actual amount will not be known until the year-end report is issued.

Minimum Beginning Assigned Fund Balance (Reserve Commitments)

It is Timberland Regional Library's policy to provide a minimum beginning assigned fund balance of twice the maximum monthly deficit of the preceding year.



Timberland Regional Library						
CASH FLOW		2012				
Month		Receipts		Expenditures		Cash Balance
Jan-12		402,311.15		1,678,543.09		(1,276,231.94)
Feb-12		699,605.34		3,272,412.10		(2,572,806.76)
Mar-12		1,336,156.37		4,862,028.74		(3,525,872.37)
Apr-12		5,831,809.99		6,430,949.55		(599,139.56)
May-12		9,722,488.35		8,036,851.41		1,685,636.94
Jun-12		11,118,456.13		9,677,436.37		1,441,019.76
Jul-12		11,526,474.91		11,204,587.30		321,887.61
Aug-12		11,741,291.76		12,772,061.94		(1,030,770.18)
Sep-12		12,152,335.81		14,620,429.71		(2,468,093.90)
Oct-12		16,250,274.29		16,298,512.46		(48,238.17)
Nov-12		19,570,300.46		18,063,180.20		1,507,120.26

Formula $\$3,525,872.37 \times 2 = \$7,051,744.74$ (Minimum Beginning Assigned Fund Balance)

The Library calculates that approximately \$7.05 million will be needed for cash flow to operate until the large influx of tax revenues come in late April. As revenues are received through December, this reserve is restored and becomes available for the following year.

Transfers to Special Purpose Funds

The amount to be transferred to the special purpose funds, Building Fund, Automated Circulation Fund, and Unemployment Fund, will be the difference between ending fund balance and the minimum beginning assigned fund balance. The appropriate level of funding for the special purpose funds shall be determined by assignment.



McCleary Timberland Library Art



Naselle Timberland Library Art

Operating Transfers by Year

	<u>Operating</u>	<u>Building</u>	<u>Auto-circ</u>	<u>Unemployment</u>
2000	\$850,000	\$600,000	\$250,000	
2001	\$1,599,600	\$1,100,400	\$499,200	
2002	\$990,000	\$610,000	\$370,000	\$10,000
2003	\$645,000	\$255,000	\$370,000	\$20,000
2004	\$410,000	\$74,000	\$321,000	\$15,000
2005	\$550,000	\$121,000	\$321,000	\$108,000
2006	\$590,000	\$264,000	\$321,000	\$5,000
2007	\$900,000	\$450,000	\$450,000	
2008				
2009	<i>No Transfers Determined for These Years</i>			
2010				
2011	\$776,509	\$509,509	\$250,000	\$17,000
2012	\$300,000	\$250,000	\$24,000	\$26,000
2013	\$2,020,000	\$1,700,000	\$300,000	\$20,000
	<u>\$9,631,109</u>	<u>\$5,933,909</u>	<u>\$3,476,200</u>	<u>\$221,000</u>

